

Internet - China

AI Watch: DeepSeek V4 Flash official launch – our initial thought

Industry Overview

Welcome to the latest “AI Watch” series in which we track China’s rapidly evolving AI landscape and implications for China Internet sector.

DS V4 Flash raises the bar for “capable & cheap” models

DeepSeek (DS) officially launched DeepSeek-V4-Flash-0731 into on July 31. Unlike traditional model refresh, V4 Flash official version retains the same architecture and parameter count as the April preview version, with improvements driven entirely by post-training. DeepSeek highlighted that V4 Flash's agent benchmarks now significantly exceed those of the earlier V4-Pro Preview despite its smaller model size. On performance, V4 Flash is among the top global coding and agent-focused models. Pricing has been one of the key differentiators of DS and V4 Flash is priced unchanged from preview version, cheaply at US\$0.14 / US\$0.28 per million input/output tokens, and substantially below leading Western/Chinese frontier models while approaching comparable agent benchmark performance. Interestingly, the launch comes amid an intensifying global AI pricing war as OpenAI cut its GPT-5.6 Luna model pricing by 80% over the weekend.

Implications to China AI/Internet sector and key stocks

Our high-level takeaway is that V4 Flash demonstrates that **post-training** and agent optimization can generate meaningful capability gains without requiring dramatic parameter scaling. For **Alibaba**, V4 Flash raises competition intensity for Qwen in coding and agent benchmarks, although Alibaba should continue benefiting from rising AI compute demand. For **Tencent**, the development is broadly neutral as ecosystem integration and distribution remain the key competitive differentiators. We see the launch as incrementally negative for **Zhipu** and **MiniMax**. With both companies yet to launch their next flagship upgrades, the burden of proof shifts further toward demonstrating meaningful performance differentiation. DeepSeek's latest release reinforces our view that leadership in China's model layer remains highly transient, with technological advantages potentially measured in months/weeks rather than years.

What to expect next?

The China AI model upgrade cycle remains exceptionally active, and we expect several notable milestones over the coming months. **DeepSeek**: official launch of DeepSeek V4 Pro appears imminent, alongside broader rollout of its proprietary DeepSeek Harness agent framework following its first public disclosure in the V4 Flash release. **Zhipu**: we expect further flagship-model upgrades in the coming weeks as competitive pressure intensifies across coding and agent benchmarks. **MiniMax**: management previously indicated M3 Pro training remains on track for 2H26 launch, while we expect smaller model upgrades could emerge before then. **Alibaba**: we expect Qwen 3.8 official launch in the near term, with additional model and ecosystem updates potentially aligned with Alibaba Cloud's September conference season.

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China
Internet/e-Commerce

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SOTA: state of the art

GPU: Graphics Processing Unit

MoE: Mixture of Experts

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Refer to important disclosures on page 6 to 10. Analyst Certification on page 4. Price Objective Basis/Risk on page 2.

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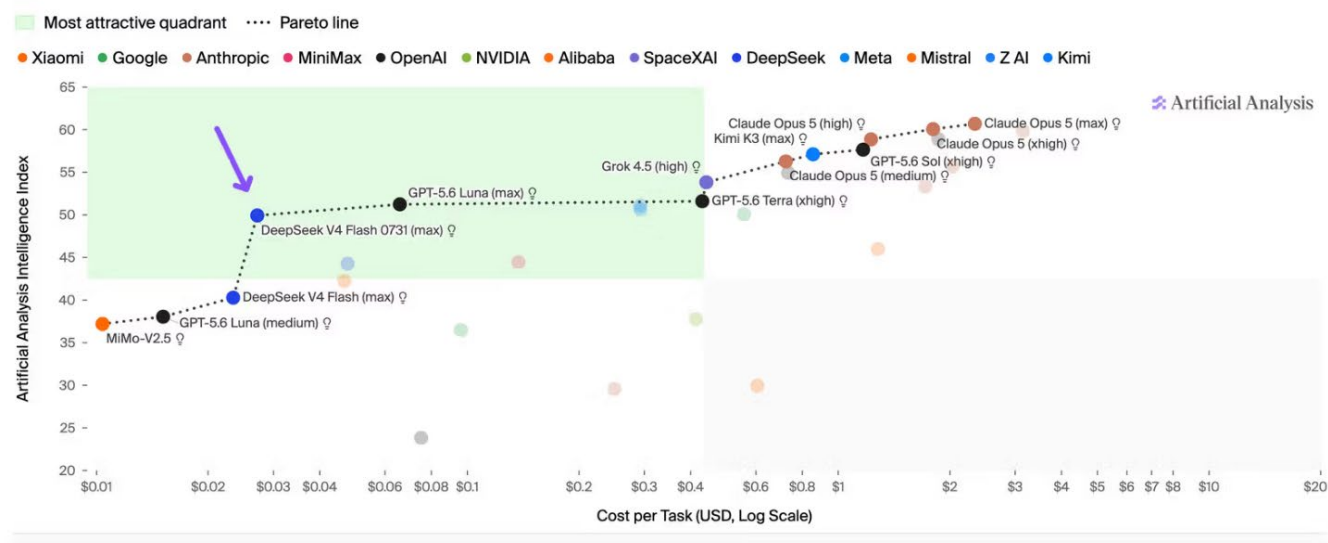
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Exhibit 1: DeepSeek V4 Flash official model achieves performances rivaling to the leading close-source models at lower price per task

Artificial Analysis Intelligence/Cost benchmark comparison of DeepSeek V4 Flash official

Intelligence Index vs. Cost per Intelligence Index Task

Artificial Analysis Intelligence Index - Weighted average cost (USD) per Artificial Analysis Intelligence Index task



💡 Reasoning models are indicated by a lightbulb icon

Source: Artificial Analysis

BofA GLOBAL RESEARCH

Stocks mentioned

Prices and ratings for stocks mentioned in this report

BofA Ticker	Bloomberg ticker	Company name	Price	Rating
BABA	BABA US	Alibaba	US\$ 122.25	C-1-7
BABAF	9988 HK	Alibaba	HK\$ 117	C-1-7
KATJF	2513 HK	Knowledge Atlas Tech	HK\$ 987.5	C-1-9
MNMXF	100 HK	MiniMax	HK\$ 230.6	C-1-9
TCTZF	700 HK	Tencent Holdings	HK\$ 475.2	B-1-7

Source: BofA Global Research

Price objective basis & risk

Alibaba Group (BABA / BABAF)

We use a multi-year DCF to capture the long-term growth profile of the company's business portfolio, capex and investment. Our SOTP PO is US\$172 (HK\$168/HK share):

1) US\$147 from our DCF valuation of the Alibaba operations (already reflecting cash outflow for new initiatives, net cash & liquid assets of US\$3, discount rate of 10%, terminal growth rate of 3%), 2) US\$8 from its LT investments of listed entities on market value and US\$6 from unlisted entities incl. equities and debt investments on value reported on balance sheet, 3) US\$11 from Ali's stake in Ant Group, with an updated valuation of US\$78.5b in last round of official share buyback.

Downside risks: 1) macro consumption slowing down, 2) value-destructive or inefficient investments, 3) over spend for overseas expansion and new technologies development, 4) regulation regarding data, security, anti-trust, ANT, trade, VAT, listing, restriction by US and audit inspection by PCAOB, 5) reputational risks about regulation, compliance and quality, 6) industry competition incl. short video platforms and social media platforms for core Commerce and new entrants in AI computing and applications, 7)

industry deceleration off a large base or high penetration, 8) macro and state-level shocks like epidemics, econ system changes, sanctions or military conflicts, 9) less stable mgmt. team which may cause confusions in strategies and inefficiency in executions.

Knowledge Atlas Technology (KATJF)

Our PO of HKD1,250 is based on a DCF methodology, reflecting strong expected revenue growth and gradual margin improvement from scaling API monetization and cloud deployment. We assume 2.0% risk-free rate, 6.0% market premium, 20% debt to asset ratio, 15% tax rate, beta of 1.5, and 4.0% terminal growth rate in our DCF model, resulting in 11% cost of equity and 9.7% WACC.

Upside risks: faster-than-expected enterprise and public-sector adoption, stronger API monetization and pricing power, accelerated cloud penetration, improved inference efficiency driving margin upside.

Downside risks: weaker-than-expected enterprise demand or monetization, slower cloud/API adoption, compute supply constraints inflating costs, intensifying competition impacting pricing and margins, lockup expiration in July 2026 and January 2027.

MiniMax (MNMXF)

Our PO of HKD500 is based on a DCF methodology, reflecting strong expected revenue growth and gradual margin improvement from scaling AI-native monetization and API expansion. We assume 2.0% risk-free rate, 6.0% market premium, 20% debt-to-asset ratio, 15% tax rate, beta of 1.5, and 4.0% terminal growth rate in our DCF model, resulting in 11% cost of equity and 9.7% WACC.

Upside risks: faster-than-expected user and enterprise adoption, stronger monetization from AI-native applications, accelerated API penetration, improved inference efficiency driving margin upside potential.

Downside risks: weaker-than-expected user growth or monetization, slower API adoption, rising compute costs, intensifying competition impacting pricing and margins, lockup expiration.

Tencent Holdings (TCTZF)

Our PO of HK\$780 is based on 1) 15x PE to online game (in line with China game peers), 2) 20x PE on VAS (ex game, in line with China VAS peers such as TME and China Literature), 3) 20x PE on online ads (in line with global ads-based internet peers), 4) 20x PE on fintech (in line with global fintech/payment peers), 5) 5x PS on cloud (in line with global public cloud peers), 6) investment holding value plus net cash (HKD107 per share).

Downside risks: 1) competition from new traffic platforms and media formats, 2) regulation on fintech, collection, sharing and use of data, competition, online games, instant messaging, wireless services, app registration, minors protection. Intervention or ownership by the authority could also introduce uncertainty in business decisions. Game regulation turns out worse than expected, 3) weaker new games momentum, 4) expenses and investments for new game promotion and AI, 5) weak macro impacting ad and fintech business, 6) geopolitical risk, and risk if it is sanctioned, 7) profit impact from AI investments

Upside risks: 1) better and faster than expected macro recovery, 2) beat of new game performance, 3) synergy from ecosystem open-up with other internet platforms, 4) ecommerce business ramp up, 5) upside risk to investor sentiment if Co. can be removed from the 1260H list, 6) breakout of AI applications

Analyst Certification

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APR - Internet, Media and Software Coverage Cluster

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BUY				
	Agora	API	API US	Daley Li, CFA
	Alibaba Group	BABA	BABA US	Joyce Ju
	Alibaba Group	BABAF	9988 HK	Joyce Ju
	Alibaba Health	ALBHF	241 HK	Miranda Zhuang, CFA
	Baidu.com	BIDU	BIDU US	Miranda Zhuang, CFA
	Baidu.com	BAIDF	9888 HK	Miranda Zhuang, CFA
	Bilibili	BILI	BILI US	Alex Liu
	Bilibili	BLBLF	9626 HK	Alex Liu
	CAR Group	CRSLF	CAR AU	Sriharsh Singh
	Coupang	CPNG	CPNG US	Ahyung Cho
	Damai Entertainment	ABPGF	1060 HK	Harry Zhuang
	Delhivery	XDVLF	DELHIVER IN	Sachin Salgaonkar
	East Money	XEQTF	300059 CH	Michael Li
	Eternal	XMWRF	ETERNAL IN	Sachin Salgaonkar
	Grab Holdings	GRAB	GRAB US	Sachin Salgaonkar
	HYBE	XBGOF	352820 KS	Sun Jung Lee
	JD Health	JDHIF	6618 HK	Miranda Zhuang, CFA
	JD Industrials	XJIF	7618 HK	Miranda Zhuang, CFA
	JD.com	JD	JD US	Joyce Ju
	JD.com	JDCMF	9618 HK	Joyce Ju
	KE Holdings	BEKE	BEKE US	Miranda Zhuang, CFA
	KE Holdings	XSQRF	2423 HK	Miranda Zhuang, CFA
	Kingdee International Software	KGDEF	268 HK	Daley Li, CFA
	Kingsoft Cloud	KC	KC US	Daley Li, CFA
	Kingsoft Cloud	KCLHF	3896 HK	Daley Li, CFA
	Kingsoft Office	XBKOF	688111 CH	Daley Li, CFA
	Knowledge Atlas Technology	KATJF	2513 HK	Alex Liu
	Krafton	XKINF	259960 KS	Jinhan Chun
	Kuaishou	KUASF	1024 HK	Miranda Zhuang, CFA
	Life360	LIFX	360 AU	Sriharsh Singh
	Makemytrip Limited	MMYT	MMYT US	Sachin Salgaonkar
	Meitu Inc.	MEIUF	1357 HK	Harry Zhuang
	MiniMax	MNMXF	100 HK	Alex Liu
	NAVER Corporation	NHNCF	035420 KS	Ahyung Cho
	NetEase	NETTF	9999 HK	Alex Liu
	NetEase, Inc	NTES	NTES US	Alex Liu
	Paytm	XUXBF	PAYTM IN	Sachin Salgaonkar
	Plan B Media PCL	XMKTF	PLANB TB	Suppamong Iemkongaek, CFA, CMT
	Sea Limited	SE	SE US	Sachin Salgaonkar
	Seek Limited	SKLTF	SEK AU	Sriharsh Singh
	Tencent Holdings	TCTZF	700 HK	Alex Liu
	The ONE Enterprise	XUFCF	ONEE TB	Suppamong Iemkongaek, CFA, CMT
	Tongcheng Travel	TNGCF	780 HK	Joyce Ju
	Trip.com Group	TCOM	TCOM US	Joyce Ju
	Trip.com Group	TRPCF	9961 HK	Joyce Ju
	TUHU Car	XTCRF	9690 HK	Miranda Zhuang, CFA
	Vipshop Holdings	VIPS	VIPS US	Joyce Ju
	Xero Limited	XROLF	XRO AU	Sriharsh Singh
	Zip Co Limited	ZIZTF	ZIP AU	Ware Kuo
NEUTRAL				
	Autohome	ATHM	ATHM US	Miranda Zhuang, CFA
	Autohome	XXYZF	2518 HK	Miranda Zhuang, CFA
	Chinasoft International	CFTLF	354 HK	Daley Li, CFA
	GoTo Group	GTOFF	GOTO IJ	Sachin Salgaonkar
	Hundsun Technologies	XYTGF	600570 CH	Daley Li, CFA
	Info Edge	IFOEF	INFOE IN	Sachin Salgaonkar
	JYP Entertainment	ALNNF	035900 KS	Sun Jung Lee
	Kakao Corp.	DAUCF	035720 KS	Ahyung Cho
	Kingsoft Corporation	KSFTF	3888 HK	Daley Li, CFA
	Maoyan Entertainment	MAOFF	1896 HK	Harry Zhuang
	Meituan	MPNGF	3690 HK	Joyce Ju
	Ming Yuan Cloud	XWTAF	909 HK	Daley Li, CFA
	NC	NCSCF	036570 KS	Jinhan Chun

APR - Internet, Media and Software Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	Nykaa	XQGF	NYKAA IN	Sachin Salgaonkar
	PB Fintech	XPFX	POLICYBZ IN	Sachin Salgaonkar
	Pinduoduo Inc.	PDD	PDD US	Joyce Ju
	REA Group	RPGRF	REA AU	Sriharsh Singh
	SM Entertainment	SMEZF	041510 KS	Sun Jung Lee
	Tencent Music	TME	TME US	Alex Liu
	Tencent Music	TCMEF	1698 HK	Alex Liu
	Urban Company	XURBF	URBANCO IN	Sachin Salgaonkar
	Weimob	WEMXF	2013 HK	Daley Li, CFA
	WiseTech Global Limited	WTCF	WTC AU	Sriharsh Singh
	YG Entertainment	XYEIF	122870 KS	Sun Jung Lee
	Yonyou Network	XYNIF	600588 CH	Daley Li, CFA

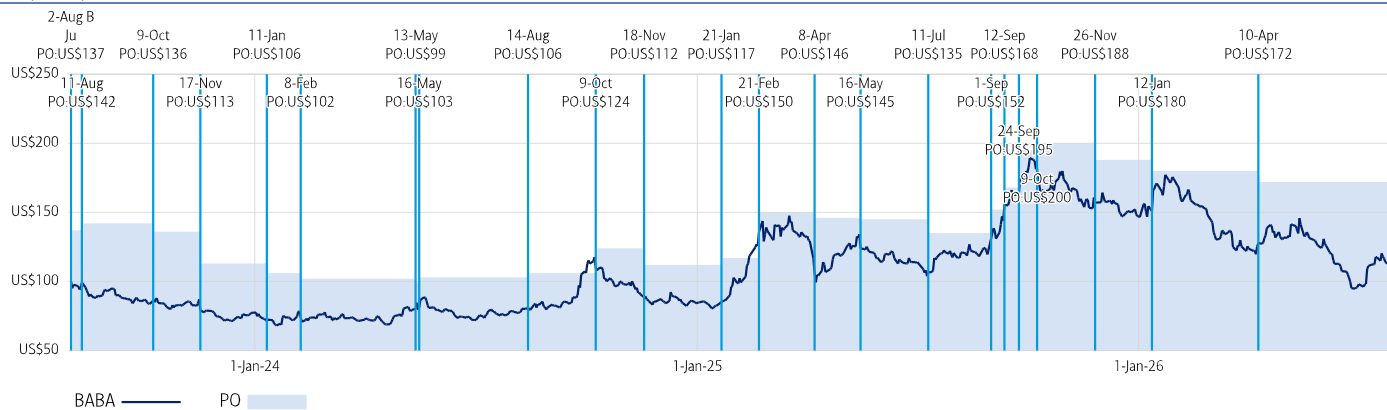
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	DBAPPSecurity	XDBAF	688023 CH	Daley Li, CFA
	Glodon Company	XGCOF	002410 CH	Daley Li, CFA
	NavInfo	XWLHF	002405 CH	Daley Li, CFA
	Ping An Healthcare and Technology	PANHF	1833 HK	Miranda Zhuang, CFA
	Qi An Xin	XQTDF	688561 CH	Daley Li, CFA
	Technology One Limited	THNOF	TNE AU	Ware Kuo
	ThunderSoft	XSTSF	300496 CH	Daley Li, CFA
	Venustech	XVCGF	002439 CH	Daley Li, CFA
	Weibo Corporation	WB	WB US	Miranda Zhuang, CFA
	Weibo Corporation	WEIBF	9898 HK	Miranda Zhuang, CFA

Disclosures

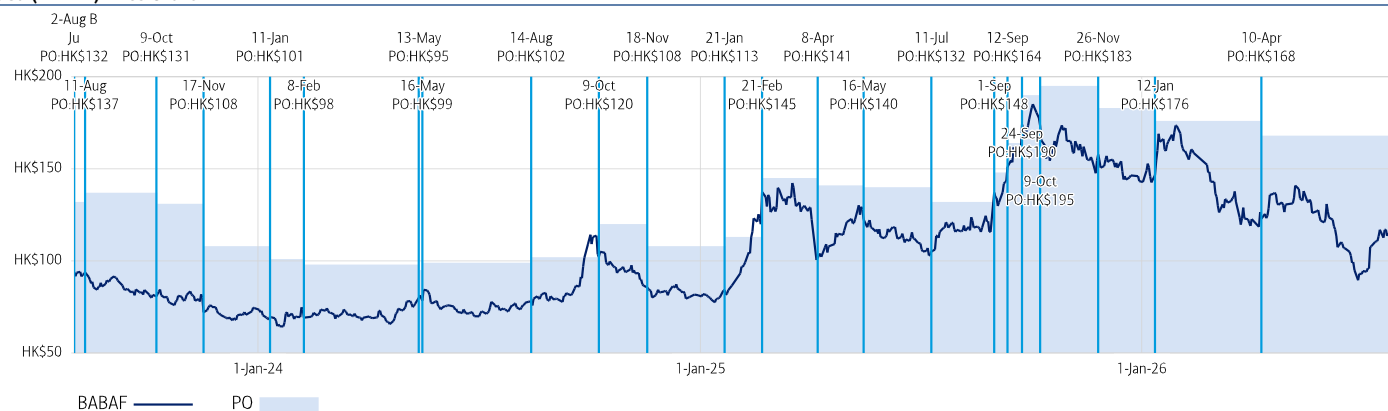
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Alibaba (BABA) Price Chart



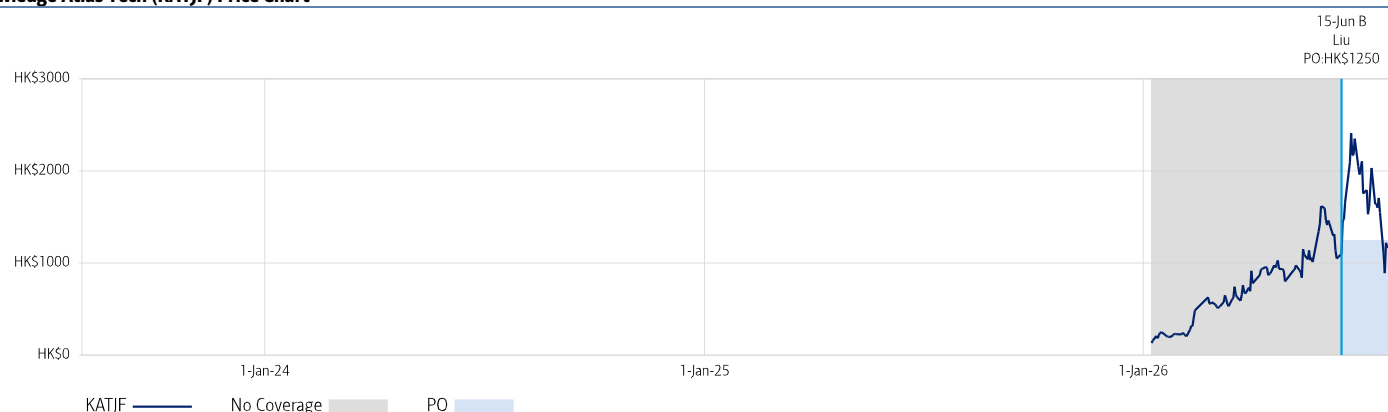
B: Buy, N: Neutral, U: Underperform, PO: Price Objective, NA: No longer valid, NR: No Rating

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Alibaba (BABA) Price Chart

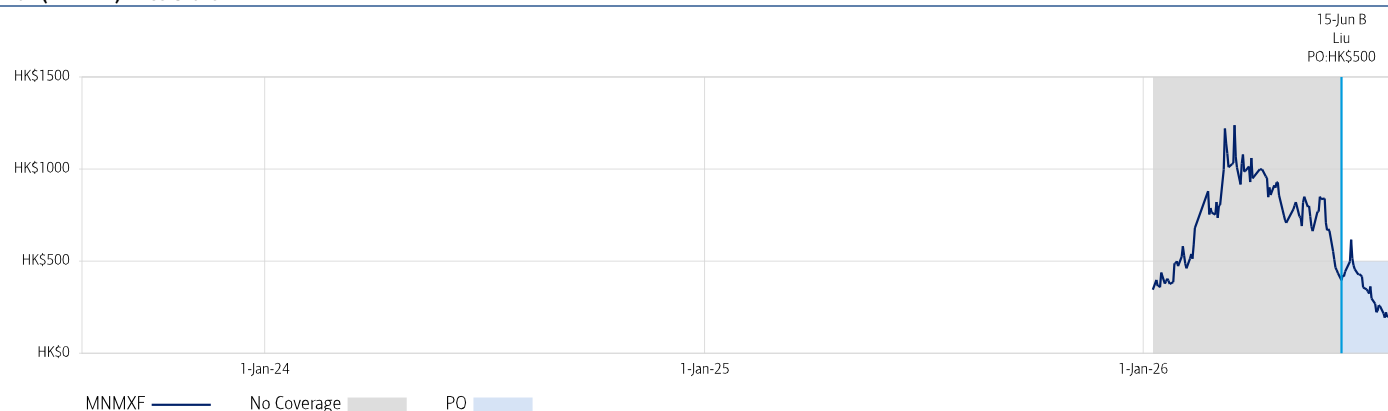
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Knowledge Atlas Tech (KATJF) Price Chart

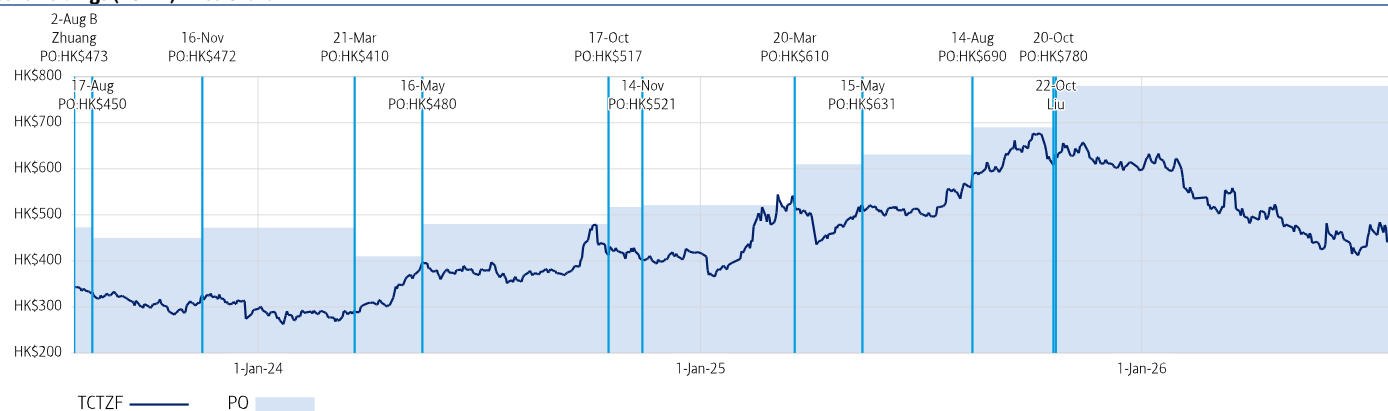
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MiniMax (MNMXF) Price Chart

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Tencent Holdings (TCTZF) Price Chart

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Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	243	60.60%	Buy	123	50.62%
Hold	87	21.70%	Hold	45	51.72%
Sell	71	17.71%	Sell	21	29.58%

Equity Investment Rating Distribution: Global Group (as of 30 Jun 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	1987	56.11%	Buy	1190	59.89%
Hold	797	22.51%	Hold	496	62.23%
Sell	757	21.38%	Sell	391	51.65%

^{R1} Issuers that were investment banking clients of BofA Securities or one of its affiliates within the past 12 months. For purposes of this Investment Rating Distribution, the coverage universe includes only stocks. A stock rated Neutral is included as a Hold, and a stock rated Underperform is included as a Sell.

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Buy	≥ 10%	≤ 70%
Neutral	≥ 0%	≤ 30%
Underperform	N/A	≥ 20%

^{R2} Ratings dispersions may vary from time to time where BofA Global Research believes it better reflects the investment prospects of stocks in a Coverage Cluster.

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